

1 ENGROSSED SENATE
2 BILL NO. 2060

By: Haste and Mann of the
Senate

3 and

4 Caldwell (Trey) of the
5 House

6
7 An Act relating to improvement districts; amending 11
8 O.S. 2021, Section 39-101, 39-102, and 39-103, which
9 relate to short title, definitions, and creation of
10 certain districts; modifying short title; modifying
11 definitions; providing for the creation of master
12 development districts upon certain approval;
13 establishing requirements and procedures for approval
14 of applications for the creation of certain
15 districts; allowing protests of approvals within
16 specified time period; authorizing districts to adopt
17 rules and bylaws; requiring inclusion of certain
18 provisions in governing document; granting certain
19 rights and powers to board of supervisors of master
20 development districts; authorizing lien on real
21 property for assessments levied by the master
22 development districts; authorizing districts to make
23 certain improvements; construing provisions;
24 requiring obligations be payable from certain
sources; authorizing districts to take certain
actions related to works or improvements; granting
districts certain contracting authority; requiring
certain parties enter into a master development
agreement; establishing requirements for master
development agreements; directing the State Treasurer
to develop certain template; authorizing certain
covenants; amending 11 O.S. 2021, Section 39-115,
which relates to the issuance of certain bonds;
authorizing the issuance of certain bonds by
districts; modifying and specifying applicability of
certain provisions; updating statutory language;
providing for codification; and providing an
effective date.

1
2 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

3 SECTION 1. AMENDATORY 11 O.S. 2021, Section 39-101, is
4 amended to read as follows:

5 Section 39-101. This act shall be known and may be cited as the
6 ~~Improvement District Act~~ "Building Utilities and Infrastructure for
7 Long-term Development (BUILD) Act".

8 SECTION 2. AMENDATORY 11 O.S. 2021, Section 39-102, is
9 amended to read as follows:

10 Section 39-102. As used in the ~~Improvement District~~ BUILD Act,
11 the singular includes the plural and:

12 1. "Acquired" means the acquisition of property or interests in
13 property by purchase, gift, condemnation or other lawful means;

14 2. "City" means any city or town incorporated pursuant to the
15 laws of ~~Oklahoma~~ this state;

16 3. ~~"Engineer" means a city engineer, city official, employee or~~
17 ~~other person competent to advise and assist the governing body in~~
18 ~~planning and making an improvement;~~

19 4. "Cost" means any cost necessarily or reasonably incurred in
20 making the improvement, including, but not limited to, cost of:

- 21 a. preparation of preliminary reports,
22 b. preparation of plans and specifications,
23 c. preparation and publication of notices of hearings,
24 resolutions, ordinances and other proceedings,

- 1 d. fees and expenses for engineers, attorneys, laborers
2 and other personal services,
3 e. rights-of-way, materials and other lawful expenses
4 incurred in making any improvement, and
5 f. capitalized interest, funding of reserves, premiums
6 for reserve surety bonds, and obtaining bond
7 insurance, letters of credit or other credit
8 enhancements or liquidity instruments;

9 ~~5. 4. "District" means an area designated by the governing body~~
10 ~~to be benefited by an improvement and subjected to payment of~~
11 ~~special assessments for all or a portion of the cost of the~~
12 ~~improvement district or a master development district. Any~~
13 ~~reference in the BUILD Act to a district shall be construed to refer~~
14 ~~to the specific entity created under Section 39-103 of this title.~~
15 Any power, duty, or authority granted to a district or the governing
16 body of the district shall be exercised independently by the board
17 of supervisors for a master development district, and by the
18 municipal governing body for an improvement district;

19 5. "Engineer" means a city engineer, city official, employee,
20 or other qualified person employed by a public or private entity who
21 is competent to advise and assist the governing body of a city or
22 master development district in planning and making an improvement;
23
24

1 6. "Governing body" means the city council, city commission or
2 board of trustees of an incorporated city or town, or the board of
3 supervisors of a master development district;

4 7. "Governing document" means the document governing the
5 creation of an improvement district or master development district;

6 8. "Improve" means to construct, reconstruct, maintain,
7 restore, replace, renew, repair, install, equip, extend, purchase,
8 alter or otherwise perform any work which provides a new facility,
9 or enhances, extends or restores the value or usefulness of an
10 existing facility;

11 ~~8.~~ 9. "Improvement" means any type of improvement made by
12 authority of ~~this Improvement District Act~~ the BUILD Act and
13 includes reimprovement of any prior improvement made pursuant to the
14 BUILD Act or any other act;

15 10. "Improvement district" means an area designated by the
16 governing body of a city to be benefited by an improvement and
17 subjected to payment of special assessments for all or a portion of
18 the cost of the improvement;

19 11. "Improvement plan" means a comprehensive report prepared by
20 an engineer outlining the proposed improvements, a preliminary plat
21 or map of the district, an estimate of costs, and a plan for the
22 financing, construction, and maintenance of the improvements;

23 ~~9.~~ 12. "Mail" means by first-class mail;
24

1 13. "Master development district" means an area within a city,
2 municipality, or unincorporated area of a county with defined limits
3 and boundaries that operates separately and distinctly from the
4 city, municipality, or county and is subject to the provisions of
5 the BUILD Act including, but not limited to, special assessments
6 against real property in such district benefited by an improvement
7 for the financing, repayment, or maintenance of the costs of the
8 master development district's public improvements;

9 14. "Publish" or "publication" means printing in a newspaper
10 which maintains an office in the city or town and is of general
11 circulation within the city or town, or, if there is no newspaper
12 which maintains an office in the city or town, a newspaper of
13 general circulation within the city or town and in two separate
14 issues thereof, at least seven (7) days apart;

15 15. "Street" means any highway, street, alley, boulevard,
16 avenue, right-of-way, public ground, or other public facility, or
17 any part thereof;

18 16. "Surface property owner" means the owner or owners of
19 record of the surface of the property included in a proposed master
20 development district or improvement district; and

21 ~~10.~~ 17. "Trustee" means a city or master development district
22 acting pursuant to this act;

1 ~~11. "Street" means any highway, street, alley, boulevard,~~
2 ~~avenue, right of way, public ground, or other public facility, or~~
3 ~~any part thereof; and~~

4 ~~12. "Publish" or "publication" means printing in a newspaper~~
5 ~~which maintains an office in the city or town and is of general~~
6 ~~circulation within the city or town, or, if there is no newspaper~~
7 ~~which maintains an office in the city or town, a newspaper of~~
8 ~~general circulation within the city or town and in two (2) separate~~
9 ~~issues thereof, at least seven (7) days apart~~ the BUILD Act.

10 SECTION 3. AMENDATORY 11 O.S. 2021, Section 39-103, is
11 amended to read as follows:

12 Section 39-103. A. The governing body of any city may create
13 one or more improvement districts for the purpose of making or
14 causing to be made any improvement or combination of improvements
15 that confer special benefit upon property within the district.

16 B. A master development district shall be created upon the
17 approval of an application to the relevant governing body of a city
18 or county in which the proposed master development district is
19 situated, pursuant to the conditions in this subsection. Upon
20 receipt of an application for a proposed master development
21 district, the governing body of any city or board of county
22 commissioners of any county may approve the creation of the master
23 development district if the applicant demonstrates the following:
24

1 1. One hundred percent (100%) of the surface owners within the
2 boundaries of the proposed master development district have
3 consented in writing to its creation and approved the master
4 development district's governing document and improvement plan;

5 2. The governing document prepared by the applicant includes
6 all of the provisions in subsection F of this section; and

7 3. An improvement plan for the district that is conducive to
8 the long-term development of the city or county, as determined by
9 the governing board of the city or board of county commissioners of
10 the county.

11 C. If the proposed master development district is located
12 wholly within an unincorporated area of a county, the county may
13 approve the creation of the master development district by vote of
14 the board of county commissioners or other county entity designated
15 by the board of county commissioners, under the same conditions
16 provided in this section. If the proposed master development
17 district is located wholly within the municipal limits of a city,
18 the city may approve the creation of the master development district
19 by vote of the governing body of the city. If the proposed master
20 development district is partially within an unincorporated area of a
21 county and partially within the municipal limits of a city,
22 application for the proposed master development district shall be
23 made to both the board of county commissioners and the city, and
24

1 approval by both shall be required for the creation of the master
2 development district.

3 D. Any protest challenging the creation of a master development
4 district shall be filed within ten (10) business days following the
5 official approval of the district by the governing body, unless
6 otherwise preempted by law.

7 E. A master development district may adopt its own bylaws,
8 rules, and regulations for the conduct of its business and the use
9 of its facilities.

10 F. A master development district's governing document shall
11 create an independent board of supervisors, which shall be the
12 governing body of the master development district. The governing
13 document shall include provisions that:

14 1. Restrict members of the independent board of supervisors and
15 their immediate family members from holding an interest in any bond
16 or other securities issued by the board; and

17 2. Delineate provisional officers of the board and a process
18 for transferring control of the board to surface property owners of
19 the district within a reasonable time frame, not to exceed ten (10)
20 years from the initial board appointments.

21 G. The board of supervisors of a master development district
22 shall have the same rights and powers over a master development
23 district that the governing body of a city has over improvement
24 districts, and shall have such other rights and powers as may be

1 provided by law. The board of supervisors of a master development
2 district shall have the power to levy, impose, and collect special
3 assessments on the property within the district for the purpose of
4 financing, operating, maintaining, repairing, or replacing district
5 improvements, including the cost of bonds, reserves, and other
6 obligations incurred by the district. All assessments levied by the
7 master development district pursuant to the BUILD Act shall
8 constitute a lien on the real property against which it is assessed
9 from the date of the levy until paid, equal to the lien of all
10 state, county, and municipal taxes, including ad valorem, and senior
11 to all other liens or encumbrances, including mortgage liens.

12 H. The governing body of an improvement district or the board
13 of supervisors of a master development district may make such
14 improvements or combinations of improvements as it deems beneficial
15 to the district. Such improvement or combination of improvements
16 may include the following, without limitation because of
17 enumeration:

18 1. Acquisition of property or interest in property when
19 necessary for any of the purposes authorized by the ~~Improvement~~
20 ~~District~~ BUILD Act;

21 2. Opening, creating, widening and extending or altering of
22 streets to improve paving, and surfacing, constructing and
23 reconstructing gutters, curbs, sidewalks, crosswalks, driveway
24 entrances and structures, drainage facilities, and service

1 connections from sewers, water, gas, electricity and other utility
2 mains, conduits or pipes;

3 3. Constructing or improving main and lateral storm water
4 drains and sanitary sewer systems and facilities;

5 4. Installation or improvement of street lights and street
6 lighting systems;

7 5. Construction or improvement of water mains and waterworks
8 systems;

9 6. Improvement of parks, playgrounds, and recreational
10 facilities;

11 7. Improvement of any street, parking or other facility by
12 landscaping, or planting of trees, shrubs and other plants;

13 8. Constructing or improving dikes, levees and other flood
14 control works, gates, lift stations, bridges and streets appurtenant
15 thereto;

16 9. Constructing or improving vehicle and pedestrian bridges,
17 overpasses and tunnels;

18 10. Constructing or improving retaining walls and area walls on
19 public ways or land abutting thereon;

20 11. Constructing or improving property for off-street parking
21 facilities, including construction and equipment of buildings
22 thereon;

23 12. Constructing or improving pedestrian malls; ~~or~~

24 13. Acquiring, constructing, or improving libraries; or

1 14. Constructing or improving offsite facilities or
2 infrastructure serving all or a portion of land within a district;
3 notwithstanding that, such facilities or infrastructure may also
4 serve areas outside a district, but subject to cost apportionment
5 requirements of subsection A of Section 39-110 of this title.

6 Nothing in the BUILD Act shall be construed as authorizing a
7 master development district to pledge the full faith and credit of
8 the state or any political subdivision. Obligations of the district
9 shall be payable solely from the revenues and assessments of the
10 master development district.

11 SECTION 4. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 39-103.2 of Title 11, unless
13 there is created a duplication in numbering, reads as follows:

14 A. An improvement district or master development district is
15 authorized to purchase, construct, acquire, own, operate, maintain,
16 repair, improve, or extend inside and outside its boundaries any and
17 all works, improvements, facilities, plants, equipment, and
18 appliances necessary to accomplish the purposes of the district
19 authorized by law, including all works, improvements, facilities,
20 plants, equipment, and appliances incident, helpful, or necessary
21 to:

22 1. Supply water for municipal uses, domestic uses, power,
23 commercial purposes, and all other beneficial uses or controls;
24

1 2. Collect, transport, process, dispose of, and control all
2 domestic, industrial, or commercial wastes whether in fluid, solid,
3 or composite state;

4 3. Gather, conduct, divert, and control local storm water or
5 other local harmful excesses of water in a district;

6 4. Irrigate the land in a district;

7 5. Alter land elevation in a district; and

8 6. Navigate waters of the district.

9 B. An improvement district or master development district may
10 enter into contracts with public or private entities for the
11 construction, operation, management, maintenance, or provision of
12 facilities and services related to district facilities and
13 improvements.

14 C. To ensure the financial stability and legal status of a
15 master development district and the security of its assessments, the
16 governing body of the approving city or board of county
17 commissioners of the approving county, or both, as provided in
18 subsection C of Section 39-103 of Title 11 of the Oklahoma Statutes,
19 and the board of supervisors of the master development district
20 shall enter into a master development agreement.

21 1. The master development agreement shall constitute a binding
22 contract and shall legally vest in the master development district
23 development rights including, but not limited to, permitted uses,
24 densities, phasing schedules, development standards, and intensities

1 of use, for the duration of the master development district's
2 existence. The city or county shall not unilaterally apply
3 subsequent changes to zoning, land-use regulations, impact fees, or
4 building codes that substantially impair the master development
5 district's ability to generate the revenue necessary to service its
6 bonded indebtedness.

7 2. The city or county shall finalize and execute the master
8 development agreement within sixty (60) days of the date the master
9 development district is created by vote of the applicable governing
10 body; provided, such timeline may be extended by mutual agreement of
11 the city or county and the master development district. To ensure
12 statewide consistency and reduce administrative delay, the State
13 Treasurer, in consultation with the Council of Bond Oversight, the
14 Oklahoma Development Finance Authority, and any other officials
15 needed, shall develop and make publicly available a Standard Master
16 Development Agreement template to serve as the required basis for
17 all such agreements. Any modifications to the standard template by
18 a city or county shall be limited to project-specific technical
19 infrastructure requirements and shall not impair the core vested
20 rights or the financial security of the master development district.

21 D. A master development district may acquire, lease, sell,
22 convey, or otherwise dispose of real or tangible property, including
23 for facilities, parks, streets, or other improvements as permitted
24 by law.

1 E. A master development district may covenant with bondholders,
2 trustees, or holders of other obligations as to the operation,
3 maintenance, and collection of assessments, and other acts necessary
4 to secure the payment of such bonds.

5 SECTION 5. AMENDATORY 11 O.S. 2021, Section 39-115, is
6 amended to read as follows:

7 Section 39-115. A. To pay all or any part of the cost of ~~the~~
8 ~~improvement~~ improvements in an improvement district, the governing
9 body of a city may issue, in the name of the city or a public trust
10 entity acting on behalf of the city, bonds in one or more series and
11 in amounts not exceeding the total cost of the ~~improvement~~
12 improvements to be financed by each series, including costs of
13 issuance, capitalized interest, funding of reserves, premiums for
14 reserve surety bonds, and obtaining bond insurance, letters of
15 credit or other credit enhancement or liquidity instruments in
16 connection with each series.

17 B. To pay all or any part of the cost of improvements in a
18 master development district, the master development district may
19 issue, in the name of the district or a public trust entity acting
20 on behalf of the master development district, bonds in one or more
21 series and in amounts not exceeding the total cost of the
22 improvements to be financed by such series, including costs of
23 issuance, capitalized interest, funding of reserves, premiums for
24 reserve surety bonds, and obtaining bond insurance, letters of

1 credit, or other credit enhancement or liquidity instruments in
2 connection with each series.

3 C. If ~~the~~ bonds issued pursuant to subsections A and B of this
4 section recite that:

5 1. The proceedings relating to making the improvement and
6 levying the assessments to pay for the improvement have been done in
7 compliance with law; and

8 2. All prerequisites to the fixing of the assessment lien
9 against the tract or parcel of land benefited by the improvement
10 have been performed~~+~~L

11 such recital shall be conclusive evidence of the facts recited.

12 ~~B. The bonds~~

13 D. Bonds issued pursuant to this section shall:

14 1. Recite the terms and conditions for their issuance;

15 2. Be payable from the money collected from the assessment
16 authorized in ~~Section~~ Sections 39-111 and 39-112 of this title;

17 3. Bear a rate of interest not less than two percent (2%) of
18 the rate of interest on the deferred installments of the assessment;
19 and

20 4. Mature not later than thirty (30) years after the date of
21 issuance of the bonds of a particular series.

22 ~~C.~~ E. Payment of the bonds issued by a city or public trust on
23 behalf of a city for a storm sewer, lighting, street, alley, curb,
24 gutter or sidewalk improvement may be supplemented from gasoline tax

1 money remitted by the State of Oklahoma on or before a date not more
2 than twelve (12) months after the last deferred installment of an
3 assessment is due from the owner of a tract or parcel of land so
4 assessed. Payment of the bonds issued for a water, sewer, gas,
5 electric or other improvement may be supplemented from the funds
6 received by the water, sewer, gas, electric or other facility on or
7 before a date not more than twelve (12) months after the last
8 deferred installment of an assessment is due from the owner of a
9 tract or parcel of land so assessed.

10 ~~D.~~ F. The bonds may be issued to the contractor in payment for
11 the construction of the improvement or may be issued and sold:

12 1. In payment of the city's or master development district's
13 proportion of the cost of the improvement;

14 2. In payment of the proportionate cost if the improvement is
15 done in cooperation with another governmental agency or master
16 development district;

17 3. In payment of the construction of the improvement done under
18 contract; or

19 4. In reimbursement to the city or master development district
20 if the city or master development district constructed the
21 improvement with city or district owned or leased equipment and city
22 or district employees.

23 ~~E.~~ G. Any city or master development district may contract for
24 the issuance and sale of bonds or assignable certificates.

1 ~~F.~~ H. Bonds or assignable certificates may be sold at a public
2 or private sale at a discount.

3 ~~G.~~ I. After the passage of thirty (30) days from the
4 publication of the ordinance or resolution authorizing the issuance
5 of district bonds, any action attacking the validity of any
6 proceedings had or taken by the governing body of the city or master
7 development district preliminary to and in the authorization and
8 issuance of the bonds described in the notice is perpetually barred.

9 J. Bonds issued by master development districts pursuant to
10 this section shall not:

11 1. Constitute public debt, liability, or obligation on behalf
12 of a municipality or county; or

13 2. Be considered for any purpose of any constitutional,
14 statutory, or charter debt limitation applicable to a municipality,
15 county, or school district, or impair the bonding authority of the
16 same.

17 K. A master development district created under the BUILD Act
18 shall be a body corporate and politic and a political subdivision of
19 the state. A master development district shall have the power to
20 sue and be sued, to plead and be impleaded, to contract and be
21 contracted with, and to have a corporate seal.

22 SECTION 6. This act shall become effective November 1, 2026.
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1 Passed the Senate the 25th day of March, 2026.

2
3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

7
8 _____
9 Presiding Officer of the House
10 of Representatives